

FOUNDATIONS OF FINANCE

QUIZ 4 (variant A)

Time: 35 minutes

Max. Marks 10

Name	Roll Number
------	-------------

Instructions to candidates:

- Write only the correct answer in the space provided in the question paper. The working sheet given to you is for your own calculations. Marks for each question are given alongside.
- Return both the question paper and the working sheet after the quiz. Only answers written in the appropriate places in the question paper will be evaluated.

1. A project has annual cash flows of ₹750,000 for the next ten years. The IRR of this project is 12%. If the firm's WACC is 10% **what is the project's NPV?** _____ (2 marks)

2. A firm with 12% WACC (weighted average cost of capital) is evaluating a project. The relevant cash flows are given:

Time	0	1	2	3	4	5
Project A	-6,000	2,000	2,000	2,000	2,000	2,000

Calculate

	Project A
NPV	
IRR	
MIRR	
Discounted Payback	

(1x4 = 4 marks)

3. You own a hotel. The location is excellent but the place is run down.

- Remodeling will cost you \$100,000 but generate cash flows of \$50,000 per year for the next five years.
- Rebuilding will cost you \$300,000 but generate cash flows of \$66,000 per year for the next ten years.

Your opportunity cost of capital is 10%. Which project should the company select and why? Answer based on EAAs. Show relevant calculations on the back of this sheet. 4 marks

FOUNDATIONS OF FINANCE
QUIZ 4 (variant A)

Ans3. Option Selected (A) Remodeling with \$100,000 or (B) Rebuilding with \$300,000

Reason _____

SPACE FOR RELEVANT CALCULATIONS FOR QUESTION 3